

Peabody Energy Corporation BTU

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by

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			2026	2027
Price:	20.30	EPS	0	0
Shares Out. (in M):	127	P/E	0	0
Market Cap (in \$M):	2,837	P/FCF	0	0
Net Debt (in \$M):	-80	EBIT	0	0
TEV (in \$M):	2,757	TEV/EBIT	0	0

Description

Introduction: Peabody Energy Corporation ("Peabody", "BTU", or the "Company") is a large-scale, low-cost producer of thermal and metallurgical coal with mines in the United States and Australia. Peabody has been written up numerous times on VIC, with the two most recent being by mana12 in November 2025 and mezzycbear in July 2024. Peabody's share price is near a 52-week low and is also lower than the share price when both of these write-ups were published. We attribute the recent poor share price performance to the temporary delays and cost overruns associated with bringing on the Company's tier one Centurion metallurgical coal mine in Australia.

Despite the short-term setbacks at Centurion, Peabody has had several positive developments that seem to have gone unnoticed by the market. The most important of these was a June 15th 8-K filing highlighting that Peabody is in the process of restructuring the bonding facilities associated with its Asset Retirement Obligations (AROs) in Australia and the United States. The original agreements were put in place in 2020, when Peabody was at risk of insolvency. Peabody currently has \$811 million in restricted cash and other collateral tied up in bonding for its AROs, and our analysis suggests that Peabody can free up between \$400-700 million of restricted cash (representing 15-25% of the Company's current enterprise value). Removing the restricted nature of these cash holdings will further bolster Peabody's net cash balance sheet and spur capital returns to shareholders. Additional positive developments include a successful debt refinancing (lower interest rate, less potential dilution, longer term), higher seaborne thermal and met coal prices, and the opening of additional Asian markets for the Company's domestic thermal coal.

Peabody currently has a market capitalization (fully diluted) of \$2.84 billion and an enterprise value of \$2.75 billion (pro-forma for the recent debt refinancing). While Peabody shares already appear attractively valued, the large potential increase in net cash associated with the expected release of restricted cash currently tied up in surety bonding suggests Peabody is trading at a rock bottom valuation. Our price target of \$45/share indicates upside of +100%. Peabody currently trades at 0.9x price/tangible book, and the Company's strong balance sheet, extensive global portfolio of high-quality owned coal mines, and potential release of restricted cash provide a considerable margin of safety. We utilized the recent share price weakness to make Peabody one of the largest holdings in our portfolio.

Surety Bonding Restructuring: On June 15, 2026, Peabody announced that it is restructuring the bonding facilities associated with its AROs. The prior bonding facilities were originally put in place in 2020 when Peabody was at risk of bankruptcy, and the terms of these facilities are much more punitive than most of Peabody's peers. The Australian Surety Bond Facilities are especially strict, with Peabody required to post 100% cash collateral for future AROs. Peabody terminated this agreement in June 2026 and is transitioning to a standard surety bonding program secured by the mines' assets rather than by cash. This should allow Peabody to free up most of its Australian restricted cash, which we estimate at \$350 million. Peabody's press release also noted that the Company had entered into standard indemnification agreements to support Peabody's U.S. reclamation liabilities. Standard U.S. indemnification agreements typically require little in the way of cash collateral. Peabody currently has \$378 million in U.S. surety trust accounts. While it is challenging to know how much U.S. restricted cash might be freed up, should 50% of this cash collateral be released, Peabody would receive an additional \$190 million of cash or a total of \$540 million. Combined, we estimate between \$400 and \$700 million of restricted cash could be released for Peabody, representing 15-25% of the Company's current market capitalization and enterprise value. Given Peabody's clean balance sheet, a significant portion of this unrestricted cash could be returned to shareholders.

Centurion Mine Overview and Status: In late 2022, Peabody announced that it would be redeveloping the North Goonyella metallurgical mine in Australia. In 2023, Peabody acquired coal reserves adjacent to the mine and renamed the mine Centurion. Centurion is a Tier One mine within the world's premier hard coking coal basin. Met coal production at Centurion is expected to average 4.7 million tonnes annually for the next 25 years. Centurion is also expected to be in the first quartile on the cost curve with expected production costs of \$105/tonne. In the Company's Q1 2026 earnings release, Peabody highlighted that the expected ramp-up in production at Centurion would be delayed by a quarter as electrical and mechanical issues led to challenging roof conditions. Peabody highlighted that the electrical and mechanical issues have been resolved, and Peabody expects full long-wall production at Centurion during the second half of 2026. The production delay, combined with elevated expenditures to address the issue, hurt Peabody's corporate profitability in Q1, and weak financial results are expected to continue through Q2 2026. In spite of the short-term setback, Centurion continues to be one of the premier metallurgical coal mines in the world, and Peabody estimates the mine has a current net present value of \$2.1 billion (over 75% of Peabody's current enterprise value). While we acknowledge that further delays and expense overruns are a potential risk, we find it unlikely that these delays permanently impair the mine's long-term value. Peabody is also scheduled to host an analyst event at the Centurion Mine on August 11th, suggesting most of the mine's issues are likely behind it. Additionally, Peabody has previously highlighted the potential opportunity to crystalize the mine's value by selling a portion of the mine (likely 20-30%) to Asian steel producers, which could generate additional cash proceeds of \$400-600 million. Selling a portion of the mine could be very value-accretive to Peabody, and we expect that the mine will have considerable interest from outside companies once production reaches targeted levels.

Debt Refinancing: In May 2026, Peabody completed a debt refinancing transaction that effectively lowered the Company's interest payments, reduced potential shareholder dilution, and extended the Company's debt maturity profile. Prior to the transaction, Peabody had \$320 million of 3.25% convertible

notes outstanding due March 2028, with the notes convertible at \$19.09/share. In the recent transaction, Peabody issued \$250 million 0.5% convertible notes due in 2031. The notes are convertible at \$38.20/share, and Peabody spent \$16.7 million in a capped call transaction to increase the conversion price to \$50.6095/share. Peabody subsequently paid \$388.8 million to repurchase \$241.2 million in principal of the Company's outstanding 2028 notes, reducing the principal balance to \$78.8 million. While readers can account for convertible debt in different ways, in our analysis we assume convertible debt that is in-the-money is treated as equity while convertible debt that is out-of-the-money is treated as debt. As a result of the transaction, the dilution associated with the 2028 notes was reduced from 16.8 million shares to 4.1 million shares (reducing potential dilution by 12.7 million shares). We assume the new 2031 notes are treated as debt. The transaction reduced Peabody's pro-forma cash balance by \$162.2 million (\$243.3 million in net proceeds from the 2031 convertible issuance less \$16.7 million in capped call outflows and \$388.8 million in 2028 convertible notes repurchased). Our full assumptions are provided in the table below. Of note, these calculations exclude any potential increase in cash resulting from the release of restricted cash for ARO liabilities.

Old Capital Structure (shares in millions):	
Basic shares	121.8
Management incentive shares	1.3
Dilution from 2028 converts	16.8
Dilution from 2031 converts	0.0
Fully diluted shares	139.9
Current Share Price	\$22.30
Market Capitalization (\$mn)	\$3,119
Cash 3/31/2026 (\$mn)	\$492.5
2028 converts principal balance	\$320.0
2031 converts principal balance	\$0
Total debt (Ex. in-the-money convertibles)	\$0
Net cash	\$492.5
Enterprise Value	\$2,626.5

New Capital Structure (shares in millions):	
Basic shares	121.8
Management incentive shares	1.3
Dilution from remaining 2028 converts	4.1
Dilution from 2031 converts	0.0
Fully diluted shares	127.2
Current Share Price	\$22.30
Market Capitalization	\$2,837
Pro-Forma Cash	\$330.3
2028 converts principal balance	\$78.8
2031 converts principal balance	\$250
Total debt (Ex. in-the-money convertibles)	\$250
Net cash	\$80.3
Enterprise Value	\$2,756.9

Source: Company filings and author's calculations

Higher Prices for Seaborne Met and Thermal Coal: Prices of both metallurgical and thermal seaborne coal are up considerably since the start of 2026 and should be supportive of Peabody's profits and free cash flow. Premium low-vol hard coking coal (HCC) is currently priced at \$240/tonne with futures prices remaining near these levels for the remainder of 2026. HCC benchmark prices started 2026 at \$218/tonne and averaged \$188/tonne in 2025. Peabody produced 8.6 million tonnes of coking coal in 2025 and currently expects to produce 9.8 million tonnes (midpoint of guidance) of coking coal in 2026. While a meaningful portion of Peabody's metallurgical coal production also comes from PCI and High-Vol A coal, the directional increase in met prices should meaningfully improve the segment's profitability. At current levels of production levels, every \$10/tonne increase in price increases metallurgical coal revenues by \$100 million, with most of this expected to flow to the bottom-line.

Similarly, Newcastle thermal coal prices are currently \$129/tonne with futures prices steady through the end of 2026. Newcastle thermal coal prices began 2026 at \$108/tonne and averaged \$106/tonne in 2025. Peabody expects to export 8 million tonnes (midpoint of guidance) of seaborne thermal coal in 2026, with the expected higher realized prices contributing meaningfully to the segment's revenues and profitability.

Domestic Thermal Coal benefitting from Power Demand and Trump Support: Peabody is a leading producer of thermal coal in the Powder River Basin, with approximately 40% market share. The PRB is the most prolific coal-producing region in the United States, representing over 40% of all U.S. coal production and represents ~7% of total U.S. electricity generation. Peabody produces about 80 million tons annually of PRB thermal coal. The Trump administration has shown considerable support for domestic thermal coal, including mandating that coal-fire power plants remain online and reducing the royalty rates on PRB coal from \$12.5% to 7.0%. The increase in power demand from the nationwide buildout of data centers also continues to support coal as a source of power. The company's PRB segment generated \$175 million in EBITDA in 2025, and we expect the segment to continue to generate attractive profits in the years ahead. In addition to the Company's dominant position in the Powder River Basin, Peabody's other domestic thermal mines produced 13.6 million tons of coal and generated \$71 million of EBITDA in 2025 and improved results are expected for 2026.

Additional Value Creation Opportunities: In addition to Peabody's profitable and cash flow generative legacy coal business, Peabody is pursuing multiple other initiatives that could be value accretive to shareholders. These include developing additional West Coast coal terminals to export the Company's domestic thermal coal to Asia, exploiting rare earth mineral resources on the Company's existing Powder River Basin mines, monetizing a portion of Peabody's 350,000 acres of owned land, and pursuing additional power generation opportunities to help satisfy data center demand for reliable power.

Terminated Anglo American Acquisition is History: In May 2025, Peabody terminated its prior agreement to purchase Anglo American's Australian met coal assets for up to \$3.4 billion in total consideration, citing a material adverse change had occurred after Anglo American's largest mine was shut down due to a fire. Analysts previously expressed concern that Peabody could be forced to complete the acquisition or owe Anglo American compensation for breaking the deal. In May 2026, Anglo American agreed to sell its Australian met coal mines to Dhillmar Limited for consideration of up to \$3.875 billion. The premium pricing to Peabody's previously announced transaction suggests that any liability Peabody could have is gone. Additionally, Peabody still has \$46 million in cash deposits that were previously made to Anglo American associated with the prior transaction that should be returned to Peabody.

Capital Returns: Peabody has highlighted that the Company intends to return 65%-100% of available free cash flow to shareholders through a combination of dividends and share repurchases. Peabody currently pays a \$0.075/share quarterly dividend resulting in a current yield of 1.4%. We expect Peabody's free cash flow to improve significantly in the coming years as Centurion's profitability improves and ramp-up costs are reduced. Peabody should also benefit from

higher prices for its thermal and metallurgical coal. The expected release of a significant portion of Peabody's cash collateral associated with its ARO obligations could also result in a sizeable return of capital to shareholders.

Compelling Valuation: After adjusting for Peabody's recently completed debt refinancing, Peabody has 127.2 million fully diluted shares outstanding and has a net cash balance of \$80 million, resulting in a market capitalization of \$2.84 billion and an enterprise value of \$2.72 billion. Peabody generated adjusted EBITDA of \$455 million in 2025, and we expect the Company's adjusted EBITDA to reach \$700 million in 2026. These projections suggest Peabody trades at under 4.0x EV/Adjusted EBITDA. Should Peabody's recent surety bonding restructuring release \$500 million in available cash, the Company's enterprise value will be reduced to \$2.2 billion, and Peabody would trade at roughly 3.0x EV/EBITDA. Additionally, we expect the Company's operating performance to improve dramatically in 2027 when Centurion should have a full year of production and other value-accretive initiatives are pursued. Additionally, capex is forecasted to decline to \$350 million in 2026 and beyond as the expansion capex required to start production at Centurion is lapped. Peabody also continues to have federal NOLs of over \$2.0 billion, which should keep cash taxes low in the years to come. Our price target of \$45/share suggests almost 100% upside from current prices. Peabody's net cash balance, an estimated \$500 million in the release of additional ARO cash collateral, 18 owned coal mines with a net book value of \$3.1 billion, and \$225 million balance of net working capital balance provides a meaningful margin of safety.

Risks:

- Peabody operates in a highly cyclical industry and will be subject to volatility in coal prices.
- The Centurion Mine could experience further delays and cost overruns.
- Lower natural gas prices could decrease demand for thermal coal and hurt Peabody's financial performance.
- Mining is an inherently risky business and Peabody's assets could become inoperable, impaired, or create financial liabilities.
- Coal companies are under considerable investor and regulatory scrutiny which could increase dramatically with a change in administration.

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Catalyst

Release of restricted cash associated with AROs, share repurchases, free cash flow generation

Messages

No messages